TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

- Select the stock you want to trade.
- Select the timeframe according to your trading style.
- Wait for the price to break the previous high.
- The buy entry is triggered when the previous high is broken.
- **BUY** at the top of the candle which broke the previous high.
- Place **STOPLOSS** below the swing low.
- **TARGET** the next swing high or keep trailing.

In the above illustration, you see that the price opened gap up and retraced back till half of the first 5-minute candle. If you zoom in on the chart and switch to a 1-minute timeframe, you will notice that the price retraced to 61.8% Fibonacci level. At 12:30 p.m., the high was broken which confirmed the uptrend and the entry triggered with the stoploss at the swing low and the target on a trailing basis. With this strategy, we booked a profit of a 1:2 Risk to Reward ratio.